IELTS Level 4.6 Advanced Economics Test - Randomized Answers - Test Results

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Test Summary

Grammar & Vocabulary:	4/20 (Band 3)
Reading:	5/30 (Band 3.5)
Listening:	7/40 (Band 3.5)
Writing:	15/20 (Band 7)
Overall IELTS Band Score:	**4**
Total Raw Score:	28.18/100
Time Spent:	38:32

Grammar & Language Use

Question 1

_____ comprehensive the economic reforms, their success ultimately depends on institutional capacity and political will.

A) However

B) Although

C) Despite

D] Because

Explanation: Concession with adjective

Question 2

The development strategy, _____ on extensive stakeholder consultation, demonstrated remarkable resilience during the economic crisis.

A) predicated

B) predicating

C) having predicated

D] being predicated

Explanation: Past participle in reduced relative clause

Question 3

So profound _____ that traditional economic indicators fail to capture its full impact.

A) has the digital transformation been

B) the digital transformation has been

C) was the digital transformation

D] the digital transformation was

Explanation: Inversion after 'so + adjective'

Question 4

The policy committee recommended that environmental sustainability _____ at the core of all economic planning.

A) be placed

B] is placed

C) was placed

D] has been placed

Explanation: Subjunctive after verbs of recommendation

Question 5

_____ the complex interdependencies of global value chains, regional economic shocks can have worldwide repercussions.

A) Given

B) Giving

C) To give

D] Having given

Explanation: Preposition meaning 'considering'

Question 6

The innovation ecosystem, _____ numerous research institutions and startups, has become a model for regional development.

A] comprising

B] comprised

C] having comprised

D] being comprised

Explanation: Present participle in reduced relative clause

Question 7

So rapidly _____ that regulatory frameworks struggle to keep pace.

A] is financial technology evolving

B] financial technology is evolving

C] has financial technology evolved

D] financial technology has evolved

Explanation: Inversion after 'so + adverb'

Question 8

The board insisted that climate risk assessments _____ integrated into all investment decisions.

A] be

B] are

C] were

D] have been

Explanation: Subjunctive after verbs of demand

Question 9

_____ the prevailing economic uncertainties, innovation investment continues to demonstrate remarkable resilience.

A] Notwithstanding

B] Besides

C] Moreover

D] Therefore

Explanation: Formal preposition meaning 'despite'

Question 10

The economic partnership, _____ over a decade of negotiation, has transformed regional trade patterns.

A] forged

B] forging

C] having forged

D] being forged

Explanation: Past participle in reduced relative clause

Question 11

So significant _____ that it has redefined global economic governance.

A] has the shift in economic power been

B] the shift in economic power has been

C] was the shift in economic power

D] the shift in economic power was

Explanation: Inversion after 'so + adjective'

Question 12

The committee demanded that transparency _____ in all public procurement processes.

A] be ensured

B] is ensured

C] was ensured

D] has been ensured

Explanation: Subjunctive after verbs of demand

Question 13

_____ the sophisticated economic modeling, predicting market behavior remains inherently uncertain.

A] Despite

B] Although

C] Because of

D] However

Explanation: Preposition for contrast

Question 14

The regulatory framework, _____ to address emerging digital risks, requires continuous updating.

A] designed

B] designing

C] having designed

D] being designed

Explanation: Past participle in reduced relative clause

Question 15

So complex _____ that traditional policy tools have proven inadequate.

A] have modern economic challenges become

B] modern economic challenges have become

C] became modern economic challenges

D] modern economic challenges became

Explanation: Inversion after 'so + adjective'

Question 16

The international agreement requires that environmental standards _____ uniformly applied.

A] be

B] are

C] were

D] have been

Explanation: Subjunctive after verbs of requirement

Question 17

_____ the detailed economic analysis, implementation challenges persisted.

A] Notwithstanding

B] Besides

C] Moreover

D] Therefore

Explanation: Formal preposition meaning 'despite'

Question 18

The development model, _____ on inclusive growth principles, has achieved remarkable poverty reduction.

A] predicated

B] predicating

C] having predicated

D] being predicated

Explanation: Past participle in reduced relative clause

Question 19

So rapidly _____ that traditional industries have struggled to adapt.

A] is the technological landscape changing

B] the technological landscape is changing

C] has the technological landscape changed

D] the technological landscape has changed

Explanation: Inversion after 'so + adverb'

Question 20

The reform package mandates that anti-corruption measures _____ strengthened across all government agencies.

A] be

B] are

C] were

D] have been

Explanation: Subjunctive after verbs of mandate

Reading

Passage 1: The Economics of Knowledge and Innovation Systems

The economics of knowledge represents a fundamental shift in understanding the drivers of economic growth and development. Knowledge differs from conventional economic goods in its characteristics as a non-rival, partially excludable good with significant positive externalities. These characteristics create inherent market failures in knowledge production and diffusion, justifying public intervention through research funding, intellectual property rights, and innovation policies. National innovation systems conceptualize innovation as an interactive process involving multiple actors—firms, universities, research institutes, and government agencies—connected through networks and institutions. The absorptive capacity of firms and economies determines their ability to recognize, assimilate, and apply external knowledge, highlighting the importance of human capital and learning processes. The geography of innovation exhibits strong agglomeration effects, with knowledge spillovers decaying rapidly over distance, explaining the persistence of innovation clusters despite digital connectivity. The digital transformation has created new knowledge governance challenges related to data ownership, platform control, and artificial intelligence. Open science and open innovation models challenge traditional intellectual property regimes, emphasizing collaboration and knowledge sharing. The economics of artificial intelligence introduces novel considerations regarding the distribution of innovation rents, the impact on labor markets, and the governance of algorithmic decision-making. Understanding the knowledge economy requires analyzing not only the production of new knowledge but also its

diffusion, absorption, and transformation into economic value through complex innovation ecosystems.

Question reading-q1

What represents a fundamental shift in understanding growth?

A) A) Economics of knowledge

B) B) Traditional economics

C) C) Resource economics

D) D] Agricultural economics

Question reading-q2

What characteristics create market failures?

A) A) Non-rival and excludable nature

B) B) Rival and excludable nature

C) C) Physical and tangible nature

D) D] Private and exclusive nature

Question reading-q3

What conceptualizes innovation as interactive process?

A) A) National innovation systems

B) B) Traditional R&D models

C) C) Corporate strategies

D) D] Government policies

Question reading-q4

What determines ability to apply external knowledge?

A) A) Absorptive capacity

B) B) Financial resources

C) C) Market size

D) D] Political stability

Question reading-q5

What exhibits strong agglomeration effects?

A) A) Geography of innovation

B) B) Distribution of resources

C) C) Location of markets

D) D] Spread of population

Question reading-q6

What has created new knowledge governance challenges?

A) A) Digital transformation

B) B) Globalization

C) C) Urbanization

D) D] Climate change

Question reading-q7

What challenges traditional intellectual property?

A) A) Open science models

B) B) Patent systems

C) C) Copyright laws

D) D] Trademark protection

Question reading-q8

What introduces novel considerations about innovation rents?

A) A) Economics of AI

B) B) Traditional economics

C) C) Industrial economics

D) D] Development economics

Question reading-q9

What requires analyzing diffusion and absorption?

A) A) Understanding knowledge economy

B) B) Managing traditional economy

C) C) Planning agricultural economy

D) D] Developing industrial economy

Question reading-q10

What transforms knowledge into economic value?

A) A) Innovation ecosystems

B) B) Market mechanisms

C) C) Government policies

D) D] Corporate strategies

Passage 2: Behavioral Development Economics

Behavioral development economics integrates insights from psychology and experimental economics to enhance understanding of economic behavior in developing contexts. Traditional development economics often assumed rational, self-interested actors with stable preferences, but behavioral economics reveals systematic deviations from these assumptions due to cognitive limitations, social preferences, and mental models. Poverty itself creates cognitive burdens that impair decision-making, creating behavioral poverty traps where limited attention and mental bandwidth constrain the ability to make optimal choices. Present bias leads to underinvestment in education, health, and productive assets, while loss aversion inhibits risk-taking necessary for entrepreneurship. Social preferences including fairness concerns and conditional cooperation influence collective action problems in community development. Mental models—deeply held beliefs about how the world works—shape economic behavior and can persist even when objectively inaccurate, affecting technology adoption, financial decisions, and occupational choices. Nudge-based interventions have demonstrated success in improving savings behavior, preventive healthcare, and educational outcomes by redesigning choice architectures. However, behavioral approaches face limitations in addressing structural constraints and power imbalances. The integration of behavioral insights with traditional development economics offers a more comprehensive understanding of poverty dynamics and more effective policy design. This requires context-specific experimentation and careful attention to ethical considerations regarding paternalism and autonomy. Behavioral development economics ultimately aims to create policies that work with human psychology as it is, rather than as traditional models assume it to be.

Question reading-q11

What integrates insights from psychology?

A) A) Behavioral development economics

B) B) Traditional development economics

C) C) Classical economics

D) D] Marxist economics

Question reading-q12

What reveals systematic deviations from rationality?

A) A) Behavioral economics

B) B) Traditional economics

C) C) Institutional economics

D) D] Keynesian economics

Question reading-q13

What creates behavioral poverty traps?

A) A) Cognitive burdens of poverty

B) B) Lack of resources

C) C) Market failures

D) D] Government policies

Question reading-q14

What leads to underinvestment in education?

A) A) Present bias

B) B) Risk aversion

C) C) Time preference

D) D] Discount rates

Question reading-q15

What influences collective action problems?

A) A) Social preferences

B) B) Individual interests

C) C) Market prices

D) D] Government regulations

Question reading-q16

What shape economic behavior through beliefs?

A) A) Mental models

B) B) Cultural norms

C) C) Social structures

D) D] Economic systems

Question reading-q17

What have demonstrated success in improving outcomes?

A) A) Nudge-based interventions

B) B) Traditional policies

C) C) Market solutions

D) D] Regulatory approaches

Question reading-q18

What do behavioral approaches face limitations in addressing?

A) A) Structural constraints

B) B) Individual behavior

C) C) Cognitive biases

D) D] Decision processes

Question reading-q19

What offers more comprehensive understanding?

A) A) Integration of behavioral insights

B) B) Traditional models

C) C) Experimental methods

D) D] Theoretical frameworks

Question reading-q20

What does behavioral economics aim to work with?

A) A) Human psychology as it is

B) B) Idealized human behavior

C) C) Rational choice models

D) D] Traditional assumptions

Passage 3: The Political Economy of Reform

The political economy of reform examines why economically beneficial policies are often politically difficult to implement, focusing on the distributional conflicts, institutional constraints, and ideological factors that shape policy outcomes. Economic reforms typically create winners and losers, and potential losers often organize more effectively to block changes than potential winners organize to support them. This collective action problem explains the status quo bias in economic policymaking. Institutional veto points—where multiple actors must consent to policy changes—can enable minority interests to block reforms even when they would benefit the majority. Ideological frameworks and cognitive biases shape how actors perceive their interests and the costs and benefits of reform. The timing and sequencing of reforms crucially influence their political feasibility, with reforms often more achievable during crises when the status quo becomes untenable or during political transitions when old veto players are weakened.

Compensation mechanisms that mitigate losses for powerful groups can facilitate reform implementation, though they may reduce economic efficiency. The credibility of reform commitments affects their economic impact, as private actors may not respond to announced reforms if they doubt their sustainability. International factors including conditional lending, technical assistance, and peer learning can influence domestic reform processes but cannot substitute for domestic ownership. Successful reform strategies typically combine technical soundness with political savvy, building coalitions for change while managing opposition through compensation, persuasion, and strategic sequencing. Understanding the political economy of reform is essential for designing implementable policies that achieve both economic efficiency and political sustainability.

Question reading-q21

What examines why beneficial policies are difficult?

A) A) Political economy of reform

B) B) Traditional economics

C) C) Behavioral economics

D) D] Development economics

Question reading-q22

What problem explains status quo bias?

A) A) Collective action problem

B) B) Coordination problem

C) C) Information problem

D) D] Incentive problem

Question reading-q23

What can enable minority interests to block reforms?

A) A) Institutional veto points

B) B) Democratic processes

C) C) Market mechanisms

D) D] International pressure

Question reading-q24

What shape how actors perceive interests?

A) A) Ideological frameworks

B) B) Economic models

C) C) Statistical data

D) D] Historical patterns

Question reading-q25

When are reforms often more achievable?

A) A) During crises

B) B) During stability

C) C) During prosperity

D) D] During elections

Question reading-q26

What can facilitate reform implementation?

A) A) Compensation mechanisms

B) B) Regulatory enforcement

C) C) Market competition

D) D] Public awareness

Question reading-q27

What affects economic impact of reforms?

A) A) Credibility of commitments

B) B) Speed of implementation

C) C) Scope of reforms

D) D] International support

Question reading-q28

What cannot substitute for domestic ownership?

A) A) International factors

B) B) Technical expertise

C) C) Financial resources

D) D] Political will

Question reading-q29

What do successful strategies combine?

A) A) Technical soundness and political savvy

B) B) Economic theory and practice

C) C) Domestic and international approaches

D) D] Short-term and long-term goals

Question reading-q30

What is essential for designing implementable policies?

A) A) Understanding political economy

B) B) Following best practices

C) C) Applying economic models

D) D] Implementing technical solutions

Listening

Part 1: Discussion about economic development paradigms

Script: {"narrator":"Good morning. This is the International English Language Testing System, IELTS. You will hear a number of different recordings and you will have to answer questions on what you hear. Ther...

Question listening-q1

What has demonstrated limitations according to the speakers?

A) A) Washington Consensus

B) B) Marxist economics

C) C) Keynesian theory

D) D] Behavioral economics

Question listening-q2

What failed to account for institutional quality?

A) A) Conventional approach

B) B) Modern theories

C) C) Historical models

D) D] Digital frameworks

Question listening-q3

What does the post-Washington Consensus still operate within?

A) A) Neoliberal framework

B) B) Socialist framework

C) C) Traditional framework

D) D] Experimental framework

Question listening-q4

What demonstrates the importance of sequenced liberalization?

A) A) East Asian success

B) B) European integration

C) C) African growth

D) D] Latin American models

Question listening-q5

What concept provides insights about economic evolution?

A) A) Product space

B) B) Market efficiency

C) C) Comparative advantage

D) D] Factor endowments

Question listening-q6

What creates both opportunities and constraints?

A) A) Path dependence

B) B) Market forces

C) C) Government policies

D) D] International trade

Question listening-q7

What dual challenge do developing countries face?

A) A) Traditional and digital capabilities

B) B) Economic and political reforms

C) C) Domestic and international pressures

D) D] Short-term and long-term goals

Question listening-q8

What development path is no longer viable?

A) A) Grow first, clean up later

B) B) Export-led growth

C) C) Import substitution

D) D] Balanced growth

Question listening-q9

What should the state facilitate instead of picking winners?

A) A) Discovery processes

B) B) Market competition

C) C) Private investment

D) D] International partnerships

Question listening-q10

What must development strategies balance?

A) A) Global integration and domestic capability

B) B) Growth and inflation

C) C) Efficiency and stability

D) D] Equity and freedom

Part 2: Lecture on platform economics and digital markets

Script: {"narrator":"Now turn to Part 2. You will hear a lecture on platform economics and digital markets. Look at questions 11 to 20. You now have some time to look at the questions.\n\n[Pause]\n\nNow liste...

Question listening-q11

What represents significant economic transformation?

A) A) Digital platforms

B) B) Traditional industries

C) C) Agricultural sector

D) D] Manufacturing revival

Question listening-q12

What distinctive characteristics do platforms exhibit?

A) A) Network effects

B) B) Physical assets

C) C) Linear production

D) D] Traditional marketing

Question listening-q13

What dynamics can lead to market concentration?

A) A) Winner-take-most

B) B) Perfect competition

C) C) Monopolistic competition

D) D] Oligopolistic coordination

Question listening-q14

How does platform value creation differ?

A) A) Ecosystem coordination

B) B) Linear production

C) C) Resource extraction

D) D] Manufacturing efficiency

Question listening-q15

What becomes ambiguous in platform competition?

A) A) Market definition

B) B) Price levels

C) C) Cost structures

D) D] Profit margins

Question listening-q16

What enables sophisticated price discrimination?

A) A) Data accumulation

B) B) Traditional research

C) C) Market surveys

D) D] Consumer feedback

Question listening-q17

What remains underdeveloped?

A) A) Regulatory framework

B) B) Technological infrastructure

C) C) Market size

D) D] User base

Question listening-q18

What are increasingly irrelevant?

A) A) Jurisdictional boundaries

B) B) Cultural differences

C) C) Language barriers

D) D] Time zones

Question listening-q19

What requires international coordination?

A) A) Competition policy

B) B) Tax rates

C) C) Interest rates

D) D] Trade tariffs

Question listening-q20

What will receive greater attention?

A) A) Data governance

B) B) Traditional regulation

C) C) Physical infrastructure

D) D] Industrial policy

Part 3: Discussion about urban economics and smart cities

Script: {"narrator":"Now turn to Part 3. You will hear a discussion between an urban economist and a city planner about urban economics and smart cities. Look at questions 21 to 30. You now have some time to ...

Question listening-q21

What paradox does urbanization present?

A) A) Benefits and costs of density

B) B) Growth and stability

C) C) Tradition and modernity

D) D] Planning and spontaneity

Question listening-q22

What do smart city technologies optimize?

A) A) Resource use

B) B) Profit margins

C) C) Political control

D) D] Social programs

Question listening-q23

What mechanism is important for funding infrastructure?

A) A) Land value capture

B) B) Tax increases

C) C) Debt financing

D) D] Foreign investment

Question listening-q24

What is becoming as crucial as physical infrastructure?

A) A) Digital infrastructure

B) B) Social infrastructure

C) C) Financial infrastructure

D) D] Institutional infrastructure

Question listening-q25

What do smart cities require across departments?

A) A) Integrated planning

B) B) Separate budgets

C) C) Independent operations

D) D] Competitive structures

Question listening-q26

What must public-private partnerships protect?

A) A) Public interests

B) B) Private profits

C) C) Government control

D) D] Market dominance

Question listening-q27

What is crucial for urban economic resilience?

A) A) Economic diversification

B) B) Specialization

C) C) Cost reduction

D) D] Revenue maximization

Question listening-q28

What can make cities more sustainable?

A) A) Circular economy principles

B) B) Traditional practices

C) C) Historical preservation

D) D] Cultural activities

Question listening-q29

What is essential for balanced development?

A) A) Regional planning

B) B) Centralized control

C) C) Market forces

D) D] International standards

Question listening-q30

What should cities work for?

A) A) All inhabitants

B) B) Economic growth

C) C) Technological advancement

D) D] Global recognition

Part 4: Lecture on institutional economics and development

Script: {"narrator":"Now turn to Part 4. You will hear a lecture on institutional economics and development. Look at questions 31 to 40. You now have some time to look at the questions.\n\n[Pause]\n\nNow list...

Question listening-q31

What provides insights into development determinants?

A) A) Institutional economics

B) B) Behavioral economics

C) C) Classical economics

D) D] Marxist economics

Question listening-q32

What explains development variation better?

A) A) Institutional quality

B) B) Natural resources

C) C) Geographical location

D) D] Cultural factors

Question listening-q33

What do inclusive institutions enable?

A) A) Innovation and investment

B) B) Resource extraction

C) C) Wealth concentration

D) D] Political control

Question listening-q34

What do extractive institutions stifle?

A) A) Economic dynamism

B) B) Political stability

C) C) Social harmony

D) D] Cultural development

Question listening-q35

What presents a central puzzle?

A) A) Institutional persistence

B) B) Economic growth

C) C) Technological change

D) D] Social evolution

Question listening-q36

What emphasizes critical junctures?

A) A) Historical institutionalism

B) B) Rational choice theory

C) C) Behavioral economics

D) D] Game theory

Question listening-q37

What fundamentally influences institutional development?

A) A) Political power distribution

B) B) Economic resources

C) C) Cultural traditions

D) D] Geographical factors

Question listening-q38

What do developmental states require?

A) A) Political settlements

B) B) Technical expertise

C) C) Foreign investment

D) D] Natural resources

Question listening-q39

What does institutional reform require changing?

A) A) Formal and informal rules

B) B) Only formal rules

C) C) Only informal norms

D) D] Economic policies

Question listening-q40

What is essential for effective development strategies?

A) A) Understanding institutional dynamics

B) B) Implementing technical solutions

C) C) Following international models

D) D] Adopting best practices

Writing

Writing Task 1

Prompt: undefined

The diagram compares the traditional linear economy with the circular economy model. In the linear economy, resources are taken from nature, turned into products, used by consumers, and finally thrown away as waste. This process moves in a straight line and usually causes resource loss and pollution. In contrast, the circular economy tries to keep materials in use for as long as possible. Instead of throwing things away, products are repaired, reused, recycled, or redesigned so that materials can go back into production again. This creates a closed loop where waste becomes a new resource. The circular model also encourages companies to design goods that last longer and use renewable energy. Overall, the main difference is that the linear system focuses on one-way consumption, while the circular economy focuses on reducing waste and protecting resources by keeping products and materials in circulation

Writing Task 2

Prompt: undefined

Some people think artificial intelligence and automation will cause many people to lose their jobs and make society more unequal because machines can work faster and cheaper than humans. When factories or offices replace workers with robots or computer programs, many people may not be able to find new jobs, especially those who do not have advanced technical skills. This can make the gap between rich and poor even larger, as people who own the technology get richer while ordinary workers struggle. On the other hand, others believe that AI and automation can create new types of work and improve productivity. For example, new industries such as robotics, data analysis, and software design need skilled workers, and technology can also make work easier and safer. Machines can do repetitive tasks, leaving humans to focus on creative or decision-making jobs. In my opinion, both sides are partly correct. AI will replace some jobs, especially low-skill ones, but it will also create new opportunities for people who can adapt and learn new skills. The real challenge is making sure education and training keep up with technological change so that workers can move into new roles instead of being left behind. If governments and companies help people prepare for this transition, AI and automation can bring more benefits than harm.